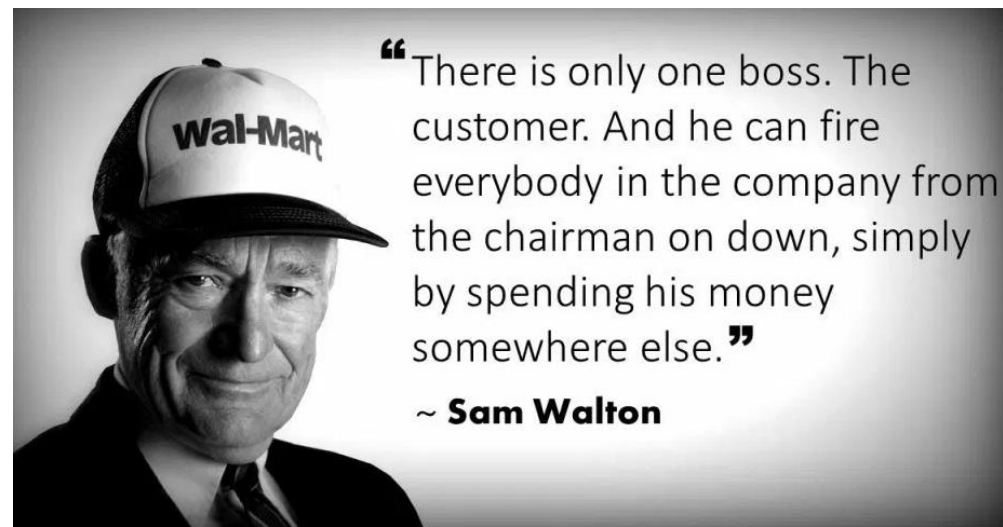


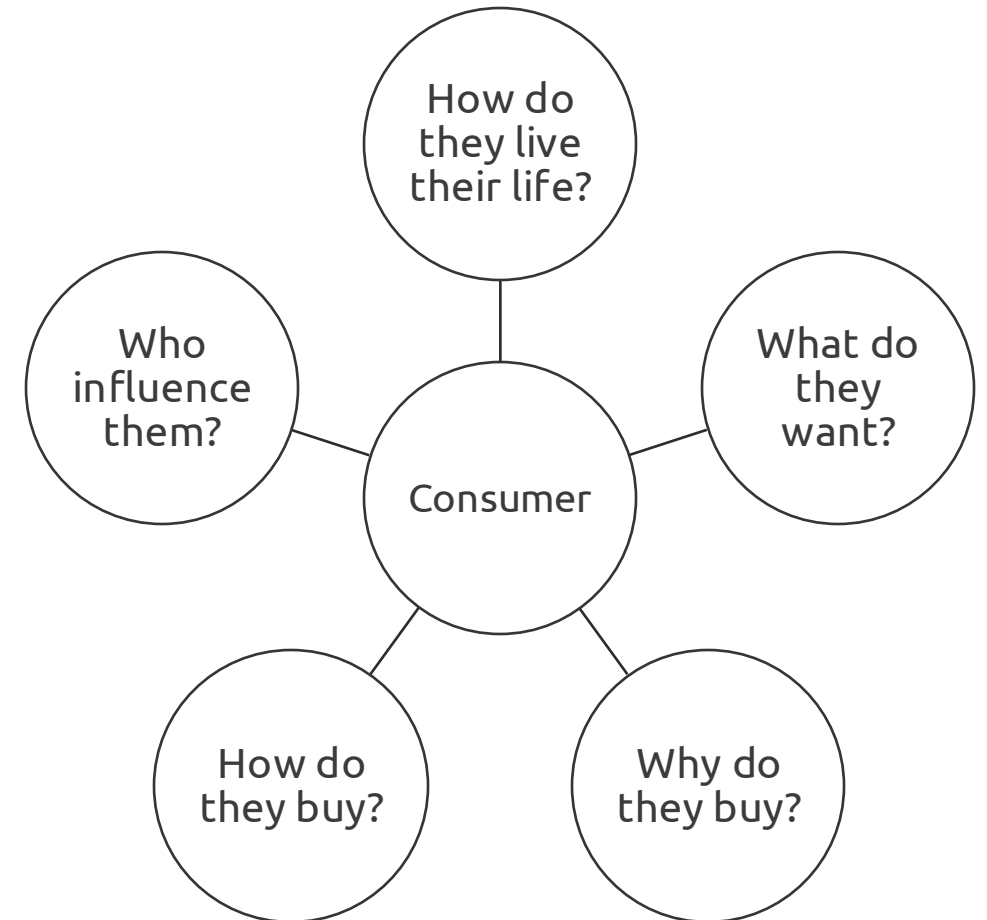
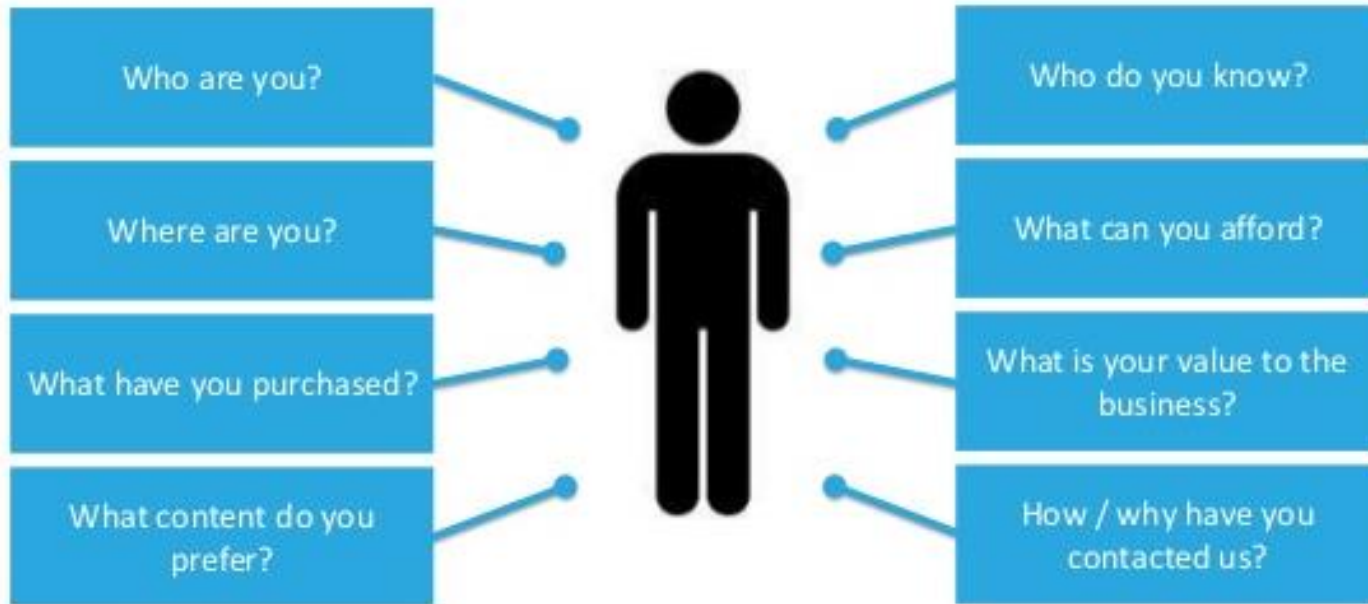


Consumer Behavior

Apiradee Wongkitrungrueng, Ph.D.

Customer Issues

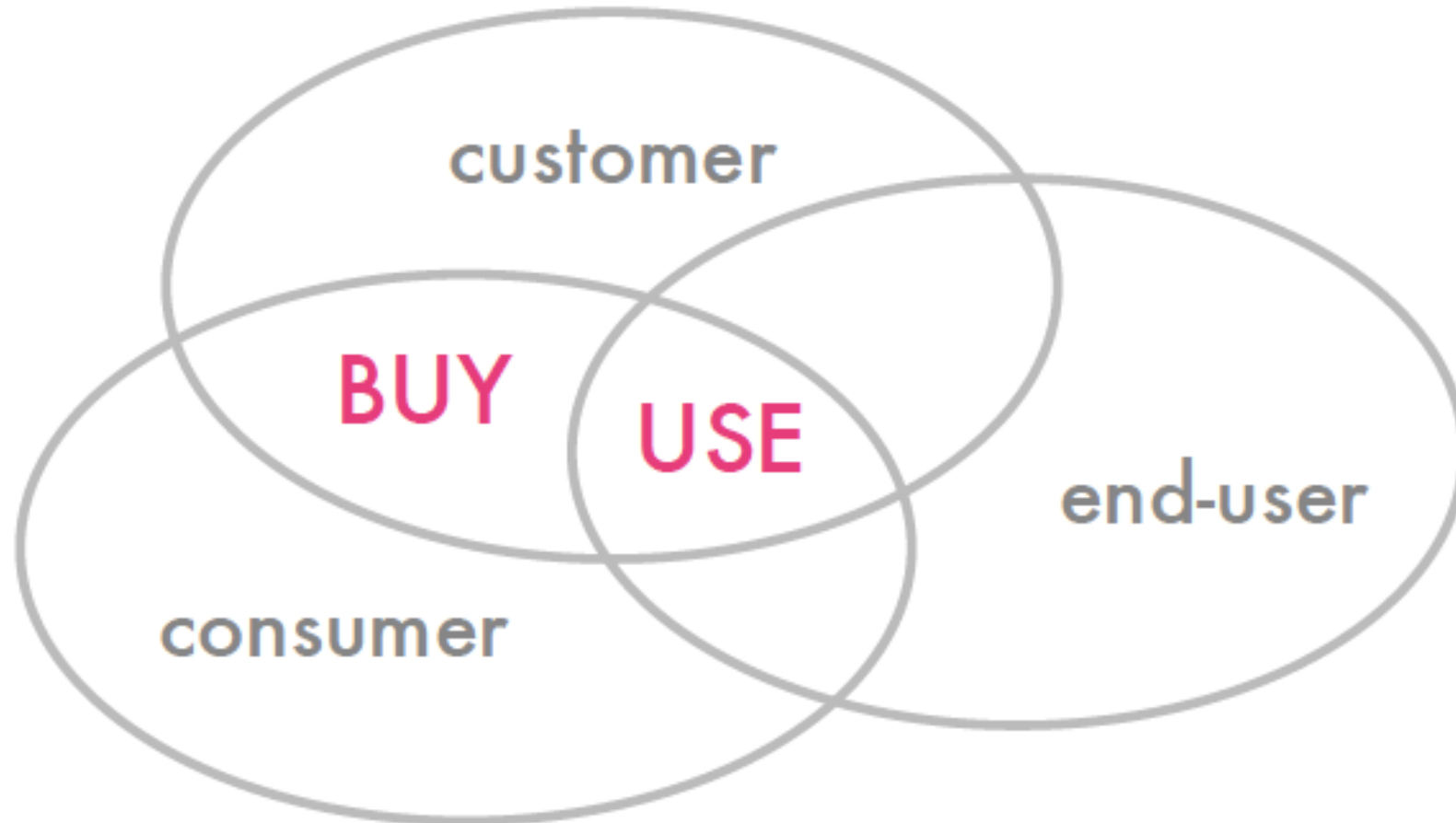
A Sample Customer 360° Profile



Definition

Consumer	• Individuals or households that buy goods and services generated within the economy, <u>for personal use</u>. Consumer is someone who is using a specific product but not from a specific brand.
Customer	• Individuals or organizations that buy products from a particular company/brand <u>for consumption/resale</u>
Client	• Individuals or organizations who are customers of <u>professional services</u> (e.g. law firms, consultants)
Shopper	• Someone who is looking for products to buy, in a store. Shoppers can be influenced by <u>store environment</u>, and change their mind.

Who use/buy products?



What are products that buyers do not use, users do not buy

When Buyers are not Users



How to market:

1. recognizing all the buyers and users
2. understanding buyers and users
3. coordinating and aligning the interests of buyers and users



WILL YOU KNOW THAT THE REASON I LAUGH WHEN
I'M WITH YOU ISN'T BECAUSE YOU'RE
SO FUNNY, ALTHOUGH YOU ARE? IT'S SIMPLY BECAUSE
SMILING CAN'T CONTAIN MY JOY.
WILL YOU KEEP LAUGHING WITH ME FOREVER?

WILL YOU?



How can you make
two months' salary last forever?



The Diamond Engagement Ring.



Firm caters to
buyers and users
in different ways

I WILL

REJECT 99.96% OF THE WORLD'S FINEST DIAMONDS BECAUSE THERE'S
A DIFFERENCE BETWEEN QUALITY AND TIFFANY-QUALITY.



THE TIFFANY SETTING.
130 YEARS OF EXTRAORDINARY.

TIFFANY & Co.

NEW YORK SINCE 1837

Beware of bored kids. Lego

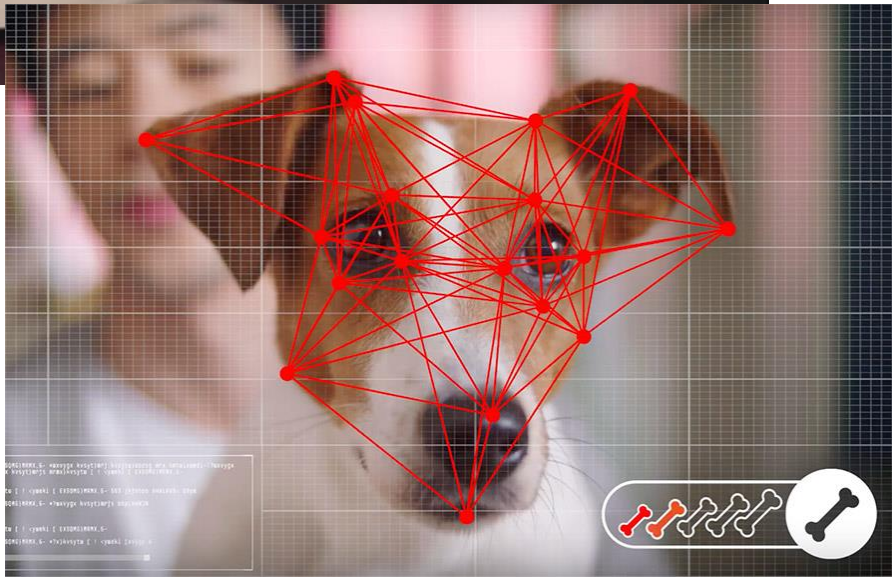
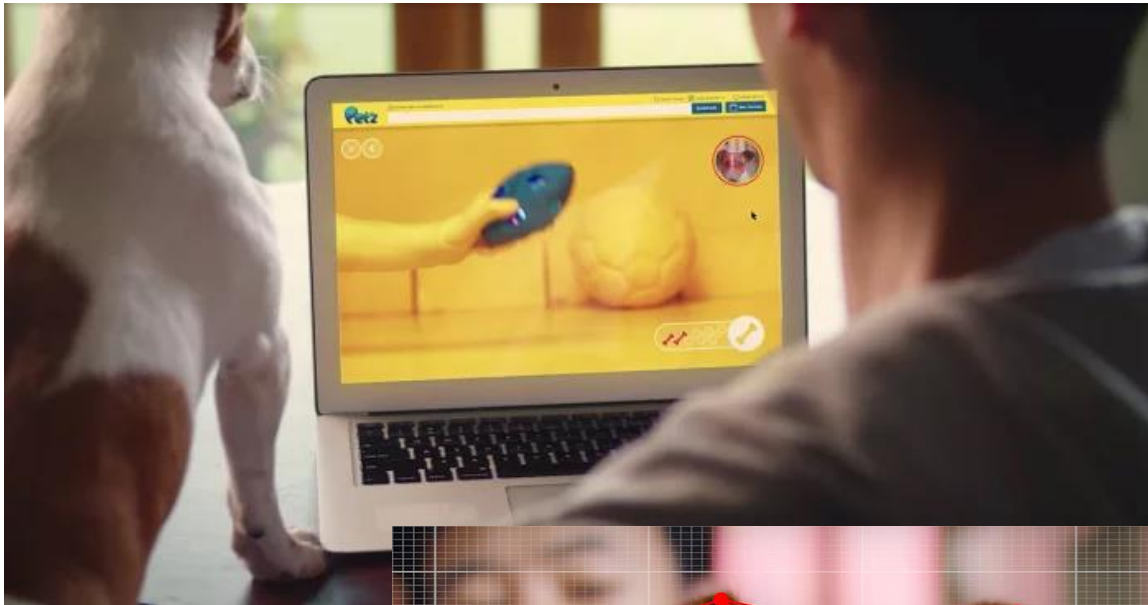


recognizing
buyers' pain
point.

recognizing
buyers as users
themselves
(kidult)

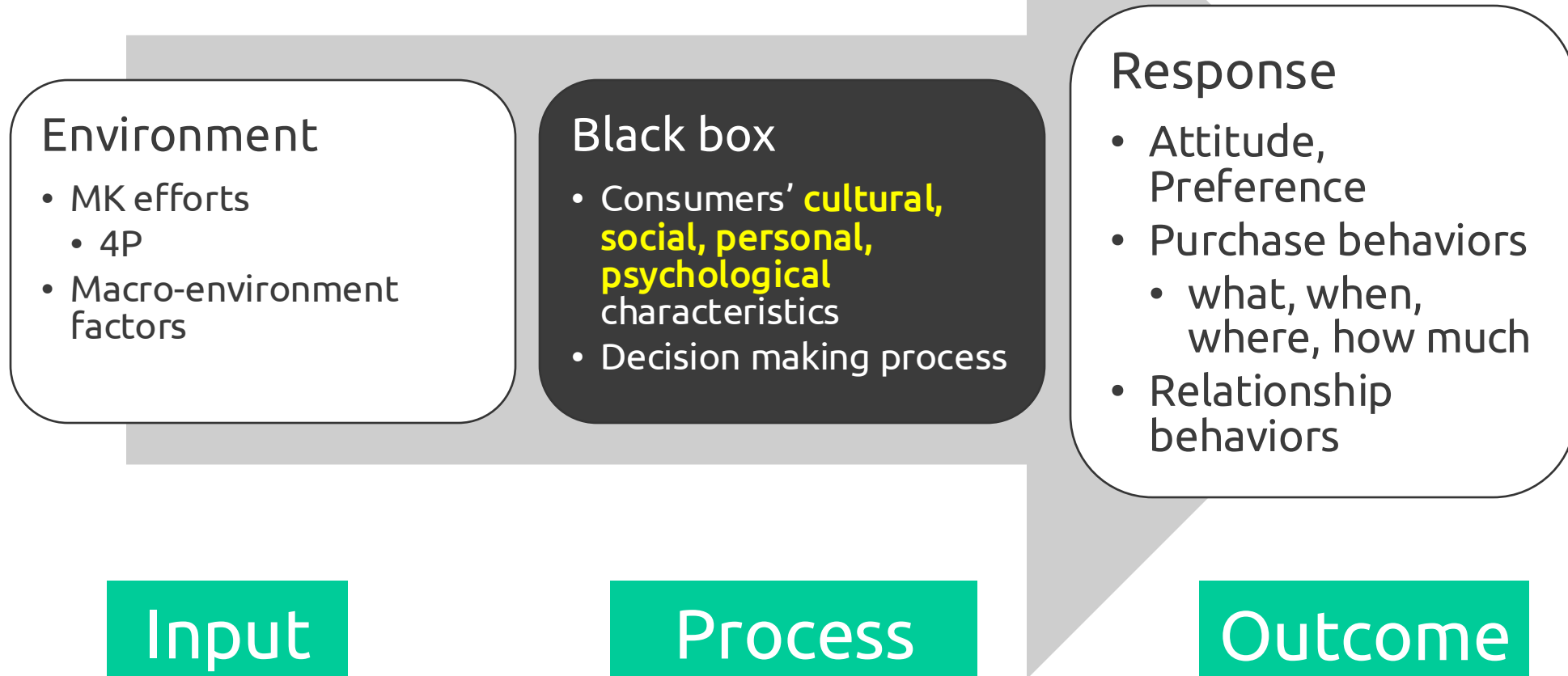
Pet-Commerce Gives Pets Buying Power with AI & Facial Recognition

Isn't it disappointing when you buy a new toy for your pet and it turns its nose up at it?



Model of consumer behavior

How do consumers respond to marketing efforts?



Factors Influencing consumer decision making



Marketers cannot control such factors, but they must take them into account.



❑ Definition

- ❑ a sum of beliefs (cognition), values (emotion), and learned norms (behavior)
- ❑ The way of life for an entire society e.g. the type of food, fashion, music we like
- ❑ Regulate the behavior of members of a society and distinguish one society from others.

❑ Levels

- ❑ Culture (national, cross-culture)
- ❑ Sub-culture (generation, gender, ethnic, religion)
- ❑ Social class

Cultural Influence

- ❑ Influence the way of life (*values, lifestyles, taste, consumption behavior*)
- ❑ Marketing cannot be effective without considering the cultural context.
 - ❑ Product should be associated with culture
 - ❑ Cultural differences are vital for international marketers.
- ❑ Determine the success/failure of product, marketing commun



Everyone should use deodorant?

USA	89%
French Canada	81%
English Canada	77%
United Kingdom	71%
Italy	69%
France	59%
Australia	25%



Examples: Cultural Influence

Product	Skin care: Asian women-white skin obsession
	Taste: Different regions-Spicy/sweetness level
	Red Color : China (luck), Africa (mourning, death)
	Packaging: Italy and Spain-large package
Price	Pricing: China-number 8 vs. number 4 (sound like death)
	Price negotiation: Thai/China-overprice
Place	Place (distribution): Western vs. Eastern-local distributor
	Advertising: Thai-sense of humor/drama
Promotion	Sales promotion (constant price): German vs. Canada
	Sales promotion (prize-winning numbers): Thai-lottery

Lottery loving culture



The 60 days 60 millions (simply press *488* and 10-digit code under the cap) results in Ichitan's market share reached No.1 for 4 months.



Urban Asians : Bangkok

Easy & Laid-back

Saduak



Sabai



Status



5S: Easy & Laid-back

Sa-thu



Sanuk



Sanuk



Thais are fun-loving, have a good sense of humour, seek pleasure and enjoyment



Saduak

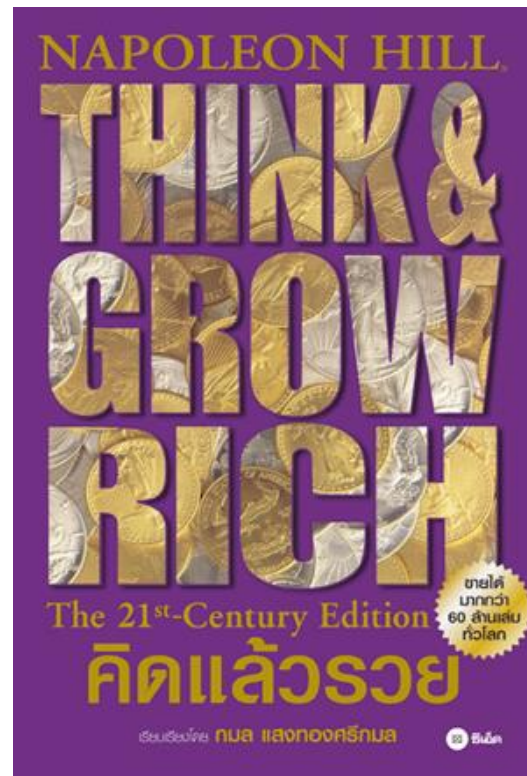




Sabuy

MEZO
BURN THE FAT : GET A PERFECT LIFE

เมโซ ลด กระชับสัดส่วน ภายใน 7 วัน



iSWOP
Perfect Flexibility. SWOP Your **Call** to Net
or **Net** to Call. Easy!

Register a new number and subscribe to the iSWOP pack
with AIS Postpaid Enjoy!

Call Net

SA-THU (Superstitious)



กรอกข้อมูลของคุณเพื่อการทำนาย

ตัวเลขการเงินของคุณ จะนำมาใช้เพื่อการคำนวณเท่านั้น

เพศ ☐ ชาย ☐ หญิง

อายุ ปี

เงินได้เฉลี่ยทั้งปี บาท

รายจ่ายเฉลี่ยทั้งปี บาท

ซิมรายเดือน

เบอร์สวยเสริมชีวิต

AIS 5G

เลขมงคล
เพิ่มพลังบวก
รุ่งเรือง มั่งคั่ง

222
88
99
11
55
333

คิดสรรโดย
แบน แมกจิซ้อน

3-IN-1 SIM

นักออกแบบตัวเลข
อันดับ 1 ของเมืองไทย



SOCIAL



พฤติกรรมการใช้งาน



คนไทยใช้โซเชียล มีเดีย 81.2%
เฉลี่ย 2.59 ชั่วโมง/วัน



- | | |
|------------------------------|-----------------------------------|
| 1 อัปเดตชีวิต
47.6% | 2 แก่เบื้อ
36.3% |
| 3 อัปเดตข่าวสาร
35.1% | 4 หาคอนเทนต์ที่สนใจ
31.6% |
| 5 เช็กระแสบนโซเชียล
29.5% | 6 หาสิ่งของที่ต้องการ
27.7% |
| 7 หางของที่ยากซื้อ
26.3% | 8 พูดคุย/แชร์ความคิดเห็น
24.5% |
| 9 ค้นหาเพื่อนใหม่
23.9% | 10 ดู LIVE
21.8% |



แห่ชื้อขนมปังเจ้าดัง
คิวแรกมาตั้งแต่เที่ยงคืน

Influencer Marketing

มีพลังแค่ไหน
ในไทย

ไทยมี Influencer มากที่สุด เป็นอันดับสองใน AEC
*เฉพาะ Active Influencer

 อินโดนีเซีย	5,000,000 คน	 กัมพูชา	964,000 คน
 ไทย	2,000,000 คน	 เมียนมา	447,000 คน
 ฟิlippินส์	1,900,000 คน	 ลาว	204,000 คน
 เวียดนาม	1,700,000 คน	 สิงคโปร์	126,000 คน
 มาเลเซีย	1,200,000 คน	 บรูไน	7.000 พัน

STATUS



ราคา : 3990.00 B
ราคาปกติ : 5900.00 B



เปิดเส้นทางธุรกิจ "รวยทิพย์" เช่ารถหรู เปิดพูลวิลล่า
ถ่ายภาพโปรโมทเน้นสร้างภาพลักษณ์ให้แบรนด์ ดึงดูดลูกค้า



Exercise:



1. **Sanuk:** seek pleasure and enjoyment
2. **Saduak:** convenient, smooth, easiness
3. **Sabuy:** seek comfort, less effort/easy, easy going and flexible
4. **Sathu:** religious, superstitious
5. **Status:** concerned with lower/higher ranked standing of people
6. **Social:** influenced by others, very active in social media

Suppose you are selling ‘clothes’, suggest how you would use one of the 6S characteristics to promote your product



Cross-culture



- Cross-culture represents differences between consumers of different societies or nations.
- Different patterns of thinking, feeling and behaving of people across different cultures are observed

West vs. East: Cultural stereotypes

Boss



Punctuality



Anger



Standard of beauty



Way of life

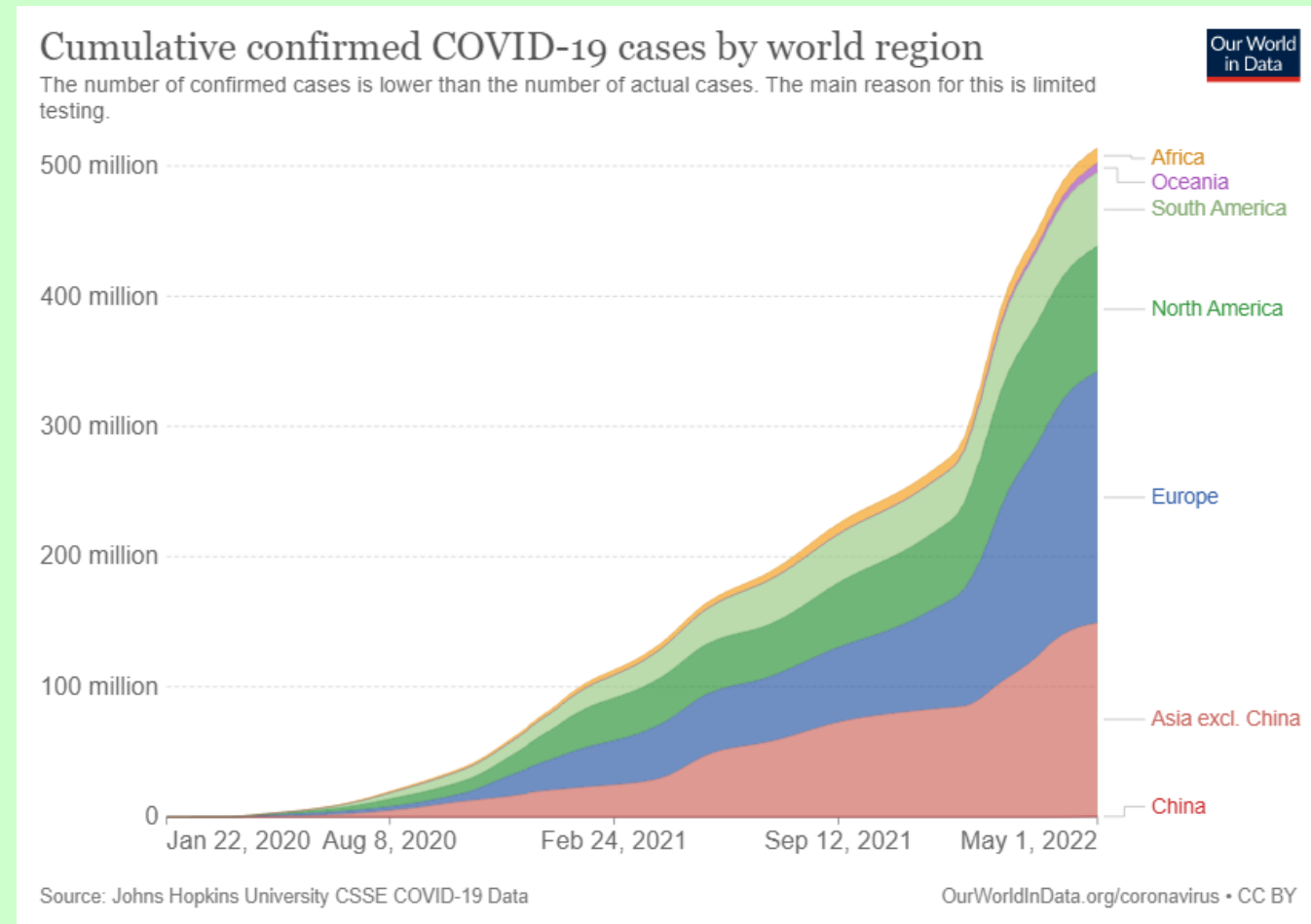


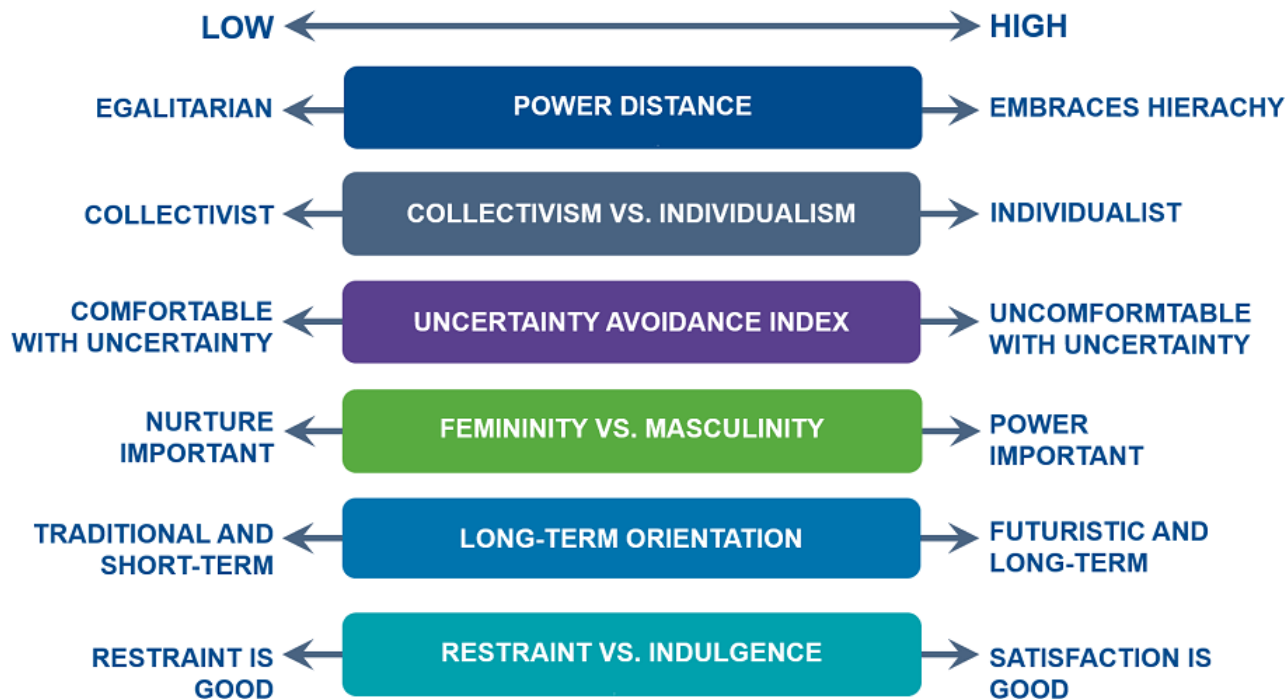
Way to think



Cultural Impact from Covid 19 Case

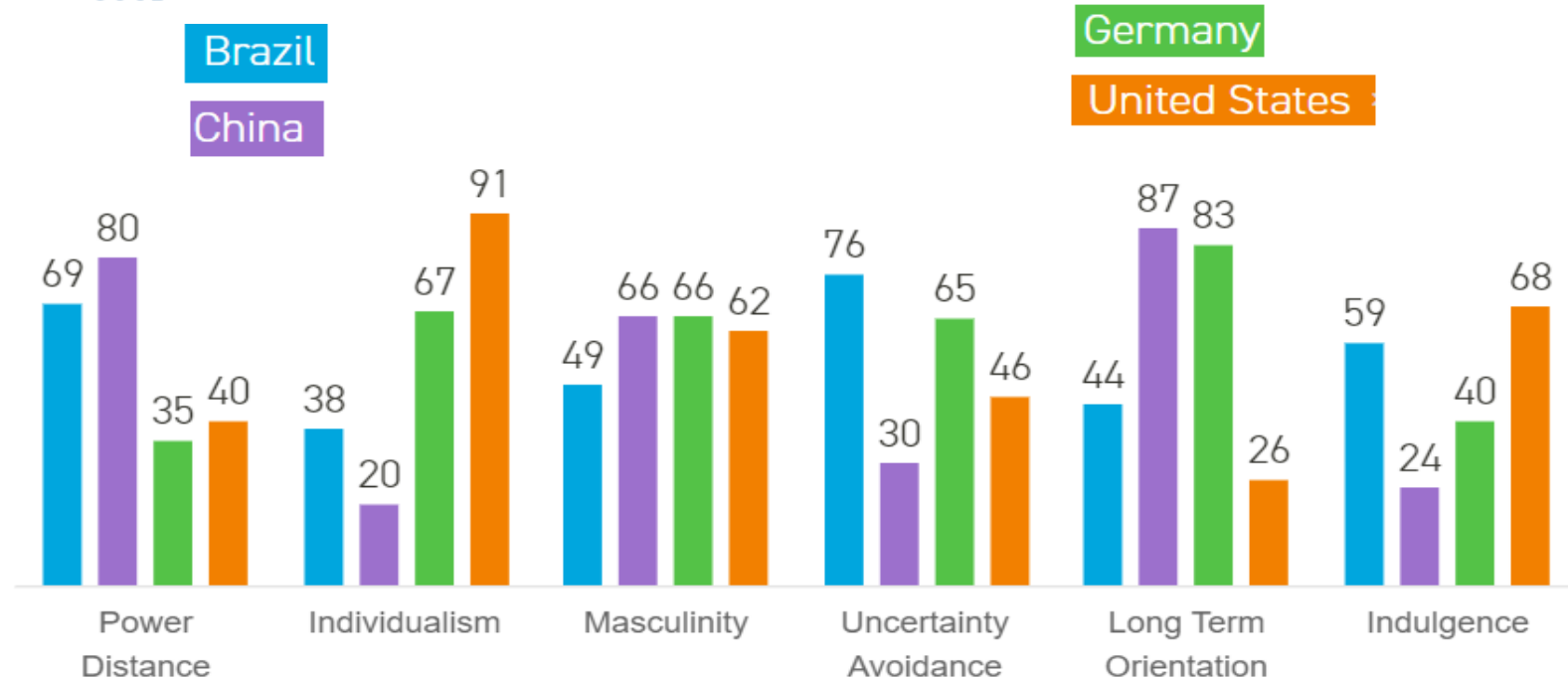
- Discuss the cultural difference between Eastern and Western that could explain the difference in the number of Covid Cases/Deaths between the East and the West.





- 1.Power Distance:** "Do you challenge your boss, or respect their rank?"
- 2.Individualism:** "Do you make decisions for *yourself*, or for the *group*?"
- 3.Uncertainty Avoidance:** "How comfortable are you with the unknown?"
- 4.Masculinity:** "Is it more important to be the *best*, or to enjoy what you do?"
- 5.Long-Term Orientation:** "Are you planning for the next generation, or living for right now?"
- 6.Indulgence:** "Do you feel free to have fun, or bound by social duty?"

Hofstede's cultural dimensions



HOFSTEDE'S CULTURAL DIMENSIONS: MARKETING IMPLICATIONS

POWER DISTANCE (Hierarchy)

HIGH



Respect authority.
Celebrity endorsements & luxury work.

LOW



Equality.
Peer reviews & accessible brands work.

UNCERTAINTY AVOIDANCE (Risk)

HIGH

DETAILED INFO & SAFETY FIRST.
NO SURPRISES.



Dislike risk.
Warranties, specs & safety sell.

LOW

TRY THE NEW!
DARE TO BE DIFFERENT.



Accept risk.
Innovation, novelty & fun sell.

INDIVIDUALISM VS. COLLECTIVISM (Self vs. Group)

INDIVIDUALISM



Focus on 'Me'.
Personalization & 'You' language.

COLLECTIVISM



Focus on 'We'.
Sharing formats & social approval.

LONG-TERM VS. SHORT-TERM ORIENTATION (Horizon)

LONG-TERM

INVEST IN THEIR FUTURE.
GENERATIONAL VALUE.



Future focus.
Investments, education & relationships.

SHORT-TERM

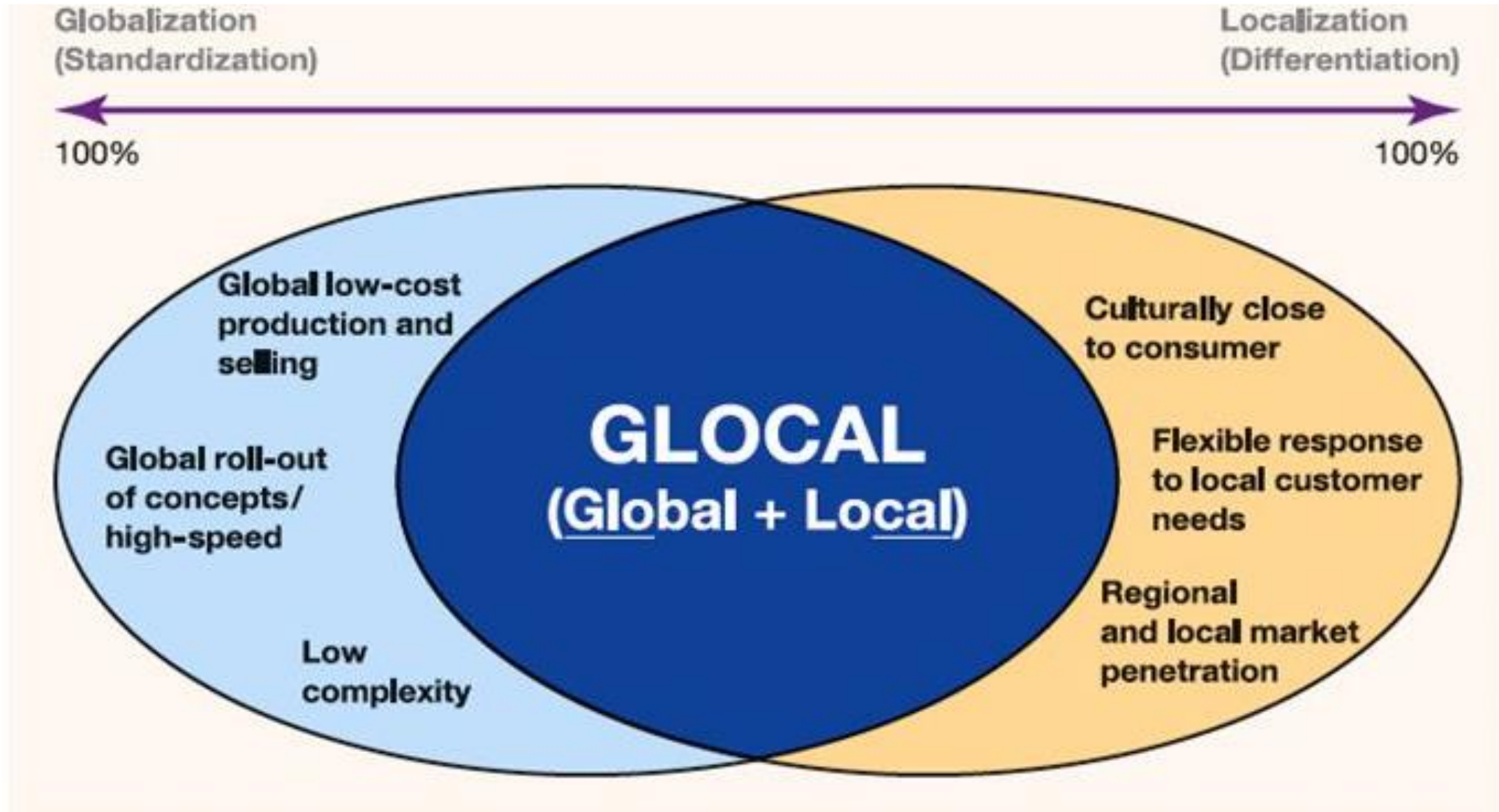
INSTANT GRATIFICATION.
ENJOY IT NOW.



BUY NOW, PAY LATER

Present focus.
Convenience, instant results & speed.

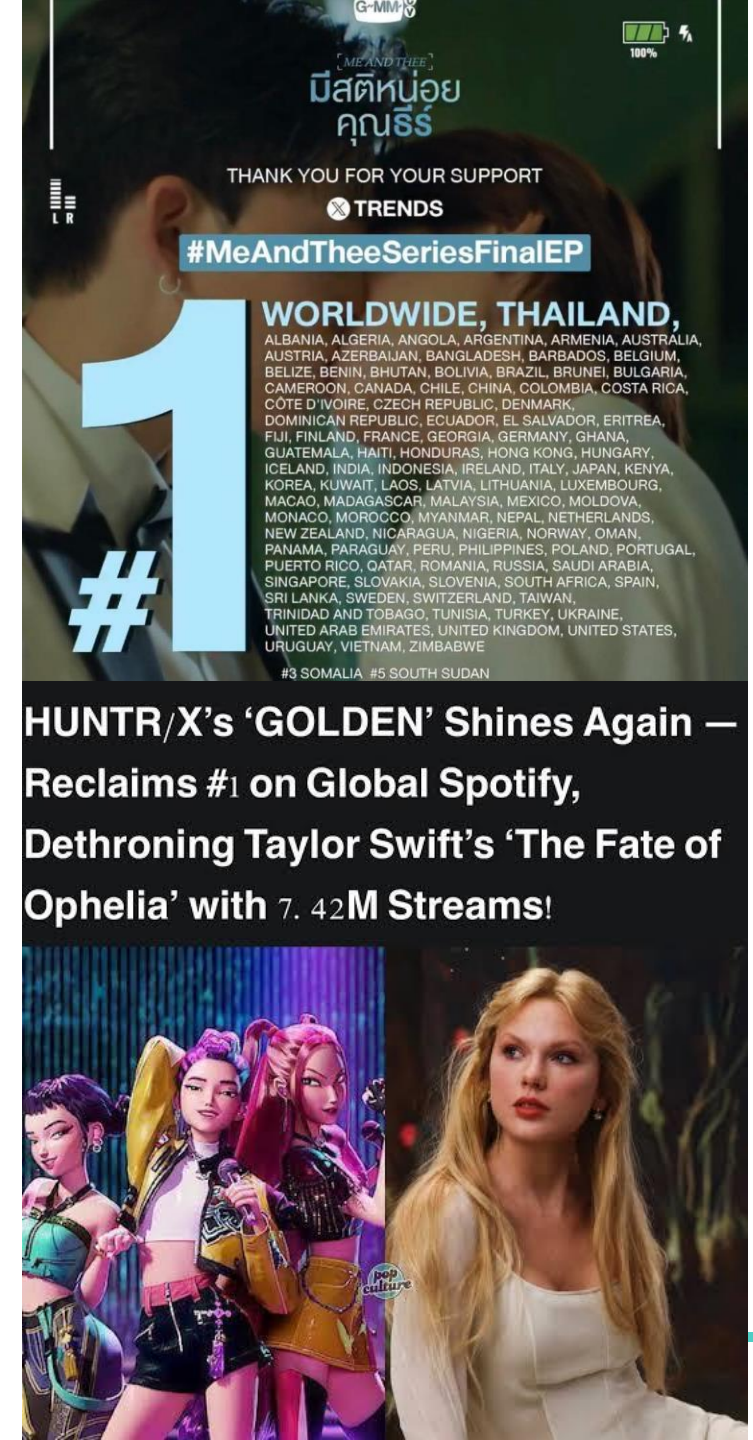
Global marketing strategies



Source: Hollensen (2011)

Globalization

- The tendency toward an international integration of goods, tech, info, labor, capital
- **Convergence of consumption patterns** and styles across countries → similarity of consumer worldwide
- **Standardization** of products, brands and advertising or marketing practices across the world.
- **Advantage:** Economy of scale, Uniform image, Operation efficiency, High speed
- **Disadvantages:** Differences in economic development, regulations, consumer preference, language, business practice, competition
 - Language barrier:
 - Chevrolet Nova [nova= new (english), not go (spanish)]



Walmart failed in Korea

- Walmart's everyday low pricing lacks strategic fit to Korean culture, quality conscious, frequent visit for freshness/limited space.
 - Korea's got the longest work hours in the developed world. When not working, they want the best. Quality > price
 - WalMart is a place for large non-food items, cheap marketplace with warehouse style layout
- Walmart cannot capture logistically efficient locations. With fewer outlets, they cannot share merchandise and distribution networks. Thus, prices are not that low compared to competitors.
- The Korean chain Emart eventually bought the scraps off the Walmart Korea heap, Walmart losing \$800 million in the process.
 - Emart is closer to a spa than a warehouse. 40 plus samples offered by different friendly, smiling staff.

Starbucks Failure and Success

Starbucks original success involves introducing European coffee culture to a market that didn't have this tradition

Australia

- Advanced local coffee culture. Australia has a strong and large coffee drinking culture.
- Pace of expansion, 90 stores in 8 years, “grew faster than its popularity”. Finally, lost over 100 million and 2/3 of stores were closed.
- Lack of effort to adapt.
 - No clear effort to differentiate from local coffee shops
 - Australian population preferred having other certain types of food within such coffee shops

China



- Starbucks has organized its efforts in China around 3 key pillars of Chinese society: family, community, and status.
- Starbucks has hosted an annual “Partner Family Forum,” and their parents can learn together about the company and its future in China
- Chinese highly value their community, traditionally labeled as their “inside circles.” Starbucks designed its retail spaces to facilitate these “circles” coming together.
- Starbucks has worked with local farmers and suppliers to source high-quality ingredients
- Incorporating traditional Chinese elements into the design and ambiance of its stores
- Wide range of menu like Oolong tea, green tea, red bean

Localization



- Localization: diversity of consumers in different cultural orientations: weather, verbal, non-verbal, sense of humor, beauty
 - The process of adapting a product/service to a particular culture, language, developing **a local look and feel** and satisfying local needs
 - The variation of the marketing mix to meet differential taste, preference, and culture of each market
 - Localization depends on thorough understanding of local needs, adjustment of business model to suit the local demand.
 - Cross-national firms have join hands with local companies or hire local staff who have better insights about the local market.
 - Failure of Wal-Mart and Success of Tesco in Korea.
 - Pro: Responsiveness to local needs, Increased income and market share
 - Con: Global image challenges, higher cost, limited control, competition from both domestic and international brands
- 

Translated Name and Meaning



宝马 Bao Ma (BMW)



喜力

Xi Li

LITERALLY
Happiness
power

- 4 approaches companies can take
- 1. Sound adaptation e.g. Sony (Suo Ni)
- 2. Meaning adaptation e.g. General Motor (Tong Yong Qi Che)
- 3. Dual adaptation e.g. Nike (Nai Ke)
- 4. No adaptation e.g. Heineken (Xi Li)



ke-kou-ke-la = Bite the
Wax Tadpole". (OLD)

可口可乐

Ke Kou Ke Le

LITERALLY
Tasty fun



Come Alive with the Pepsi Generation

跟百事恢复你地先辈

Pepsi brings
your
ancestors
back from
the
dead



Product assortment and design



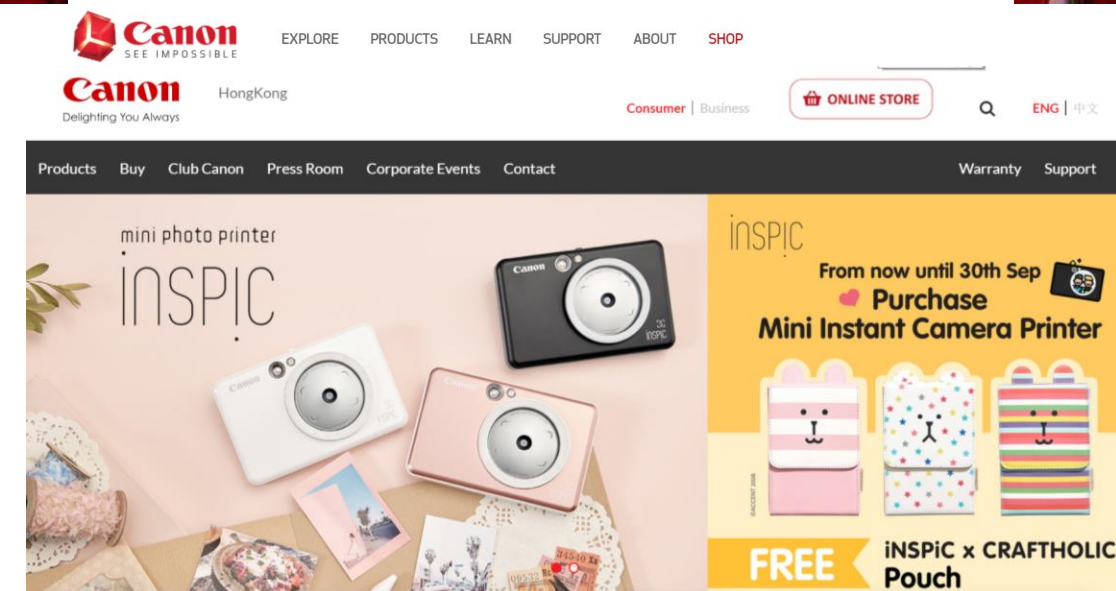
- Walmart focus on the middle and lower income cities in China. All aspects of Chinese culture were catered to
- Nike with Shark, Lion, tiger themed designer shoes for Chinese buyers



In an attempt to reach rural markets in countries, MNCs are creating product packaging and product sizes that can be sold at cheaper prices



Localize their content by printing names or phrases common in each country



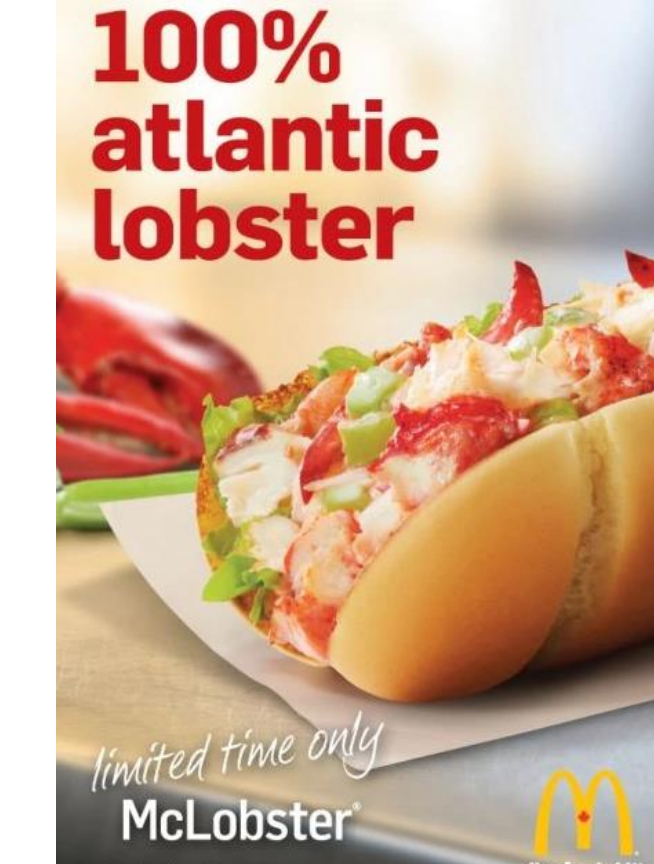
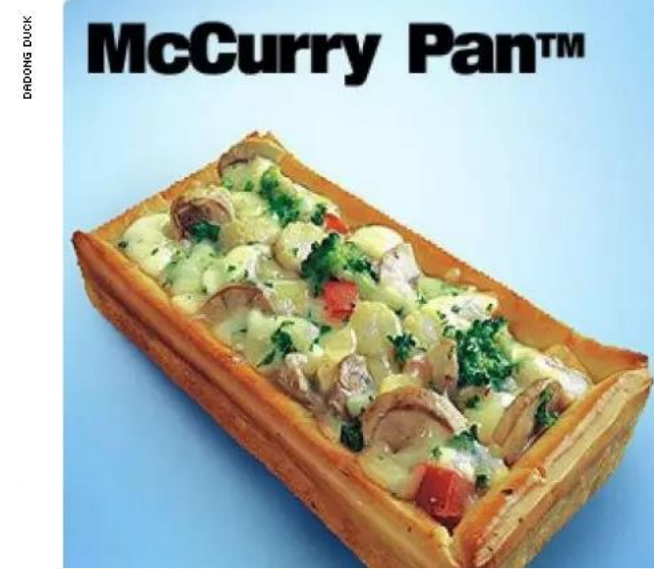
adapt functionality and design of local websites



Localize subtitles and audio dubbings

Glocalization (Think Globally, Act Locally)

- ❑ **Leverage global assets** (global standard, process, brand experiences) to provide a global offer that can be applied across cultures
 - ❑ **Fulfilling local requirements** (language, consumption pattern, choice criteria, socio-economic status, regulation) when need arises
 - Sub-group: grouping foreign markets into homogeneous groups.
Standardization is used across regions/clusters e.g. EU, Arab, Asia
 - Select the potential segment. Adjust to local conditions
 - LG in India is adapted from the Asia version. It adapts a TV with better quality speaker for Indian to listen to music and a large washing machine for big families.
 - Advantage: meet low needs/preferences at lower costs, face competition from local and international brands in a better way
-





International Version



Japanese Version

Director Pete Docter explains how they wanted to make sure the complex film about emotions didn't just work domestically, but also for international audiences as well.

There were a total of 28 graphics across 45 different individual shots which were localized.



International Version



US Version

Wal-Mart in China should be more modern

- Prices slightly higher than local supermarkets but the environment reflects a low-quality retailer. Low ceilings, tight aisles, dim lighting, confused store layout (Aisles of high-end cosmetics were adjacent to discount toilet paper and tissues), confused position (discount vs. premium retailer)
- Chinese consumers generally seek out foreign brands due to a perception of higher quality. With the abundance of tasty, cheap, and freshly-cooked food all over China, people wouldn't come to Walmart for a quick meal.



Source: [businessinsider.com](https://www.businessinsider.com)

Apple ad



Globalization



2012 ad
Global brand that
Is used by people
around the world speaking
different languages

Localization



2015 ad

- a young Chinese woman digitizes a vinyl recording of an old Chinese song for a grandmom
- showed old Shanghai alleyway and a dusty apartment that looks nothing like the modern flats Chinese iPhone owners live in

Glocalization

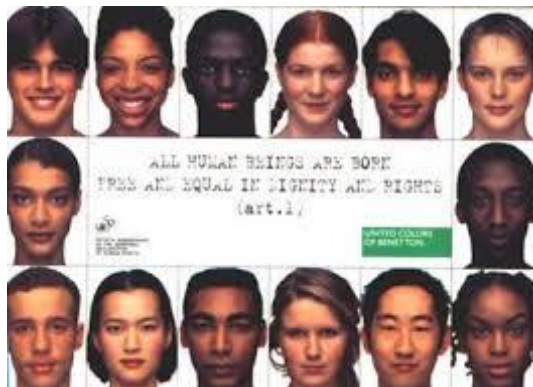


2017 ad

- treats China as a motif for global hipsterdom
- aims at an audience of global citizens
- highlights Shanghai's cosmopolitanism

Subculture

- A distinct cultural group whose norms and values, particularly regarding cultural, political, and sexual matters, are different from the dominant culture.
- Sub-culture based on gender, generation, religions, ethnic/race, geographic regions, occupation, interests
 - Segment the market using subcultures
 - Adapt marketing mix to suit subculture's needs
 - use ethnic media to reach ethnic subcultures, Incorporate members of subcultures in ads



SUBCULTURE MARKETING STRATEGY: UNLOCKING AUTHENTIC CONNECTIONS

UNLOCKING AUTHENTIC CONNECTIONS

RELIGIOUS & FAITH-BASED (Accommodating Beliefs)



Honor our practices with genuine products & services.

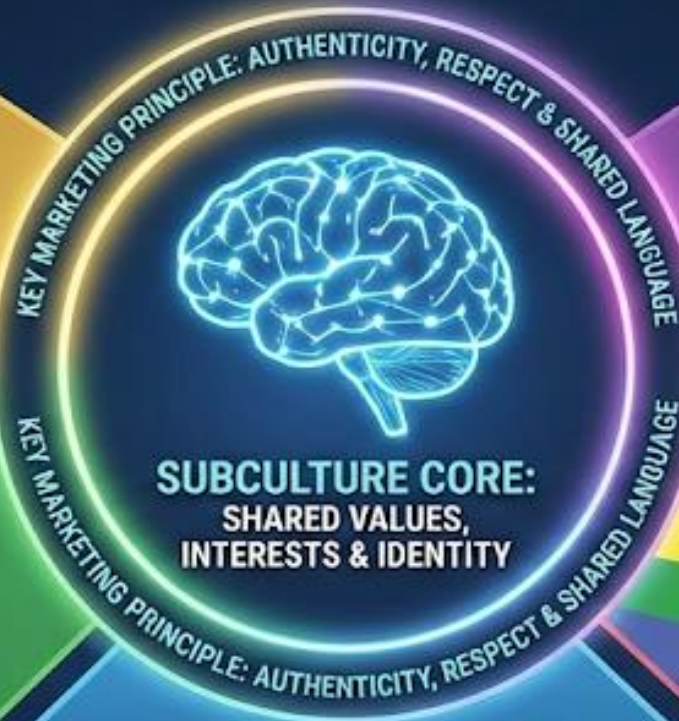
Respectful Accommodation
(Dietary, Holidays),
Specialized Services.



ETHNIC & MULTICULTURAL (Integration & Adaptation)

Respectful Integration, Product Adaptation
(Taste, Sizing), Avoid Tropes.

Celebrate our culture,
don't mock it.



INTEREST & PASSION (e.g., Cosplay, Gaming, Hipsters)



Speak our language, show you 'get' it.

Understand Jargon, Aesthetics & 'Fan' Culture.
Niche Targeting.



GENDER & IDENTITY (Evolving Norms & Inclusivity)

Authentic Support (e.g., LGBTQ+ Policies),
Challenging Stereotypes.

Be a genuine ally,
not just a 'rainbow logo'.



GENERATIONAL COHORTS (Evolving Life Stages)

Adapt to Cohort Values (Experience, Purpose, Digital Integration).

Align with our life stage and future outlook.

Exercise – Subculture in Thailand

- Subculture

1. Babyboomers, Gen x, Gen-alpha
2. Metrosexual/Trans/Gender-fluid
3. Buddhist/Christian
4. Ethnic group in Thailand (Indian/Japanese/Burmese/western expat)
5. Thai people in the northeast/north/south
6. Hipster/Hip hop/Otaku/Fandom/Cosplay/Cover dance/Street racer/political subculture e.g. three fingers

- Issues

- Unique Characteristics (e.g., appearance, jargon, lifestyle, behavior, hangout location)
 - Marketing strategy
 - what products/services have to be adapted to fit the specific interest of the chosen group
 - how other marketing mixes (e.g. price, place, promotion) have to be adjusted from that targeting a dominant culture to appeal to them
 - Any new product to meet their unmet needs
-

SUBCULTURE MARKETING: UNLOCKING NICHE PASSION

(Interests & Shared Identities)

1. DECODE THE 'TRIBE'

(Understand Shared Values & Jargon)



OTAKU/
COSPLAY



GAMERS



HIPSTERS



SNEAKERHEADS



VAN LIFE /
OUTDOORS



K-POP
FANS

Identify unique aesthetics, insider codes, and respected icons.

2. AUTHENTIC ENTRY

(Speak Their Language, Don't 'Poser')



BRAND X



DROPPING
LIMITED
SKIN! GG!



WRONG
WAY



BUY NOW!
BEST PRODUCT!



Partner with credible insiders/influencers.
Avoid mainstream clichés.

3. FUEL THE PASSION

(Create Value Beyond the Product)



EXCLUSIVE
MERCH & DROPS
(Status & Belonging)



SPONSOR EVENTS
& MEETUPS
(Community & Connection)



FACILITATE
CO-CREATION
(Empowerment & Recognition)

Offer unique experiences and
platforms for them to shine.



RESULT: DEEP LOYALTY & BRAND ADVOCACY
(The 'Cult' Following)

GENDER ASPECTS IN MARKETING: FROM STEREOTYPES TO FLUIDITY & INCLUSION

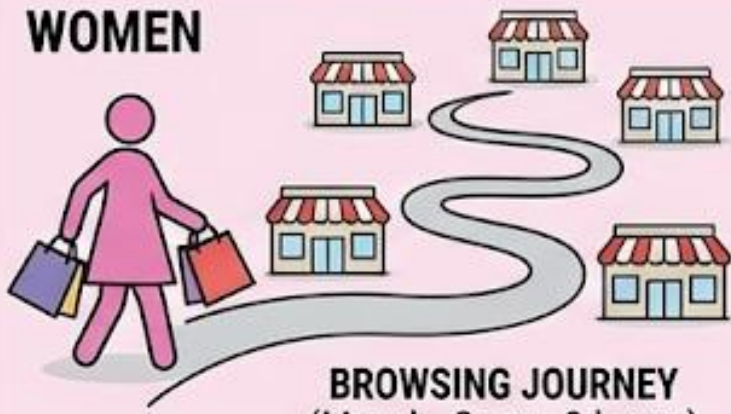
TRADITIONAL STEREOTYPES (Utilitarian vs. Hedonic)

MEN



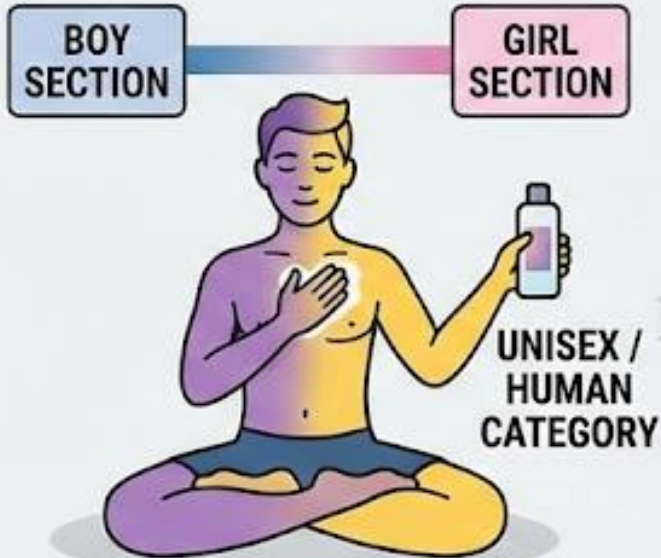
QUICK MISSION
(GAP, 6 mins)

WOMEN



BROWSING JOURNEY
(Macy's, Sears, 3 hours)

GENDER FLUIDITY & "NEW MASCULINITY" (Evolving Norms)



REDEFINING MANHOOD
(It's okay to be gentle)

LGBTQ+ MARKETING (Authentic Inclusion & 'Pink Money')



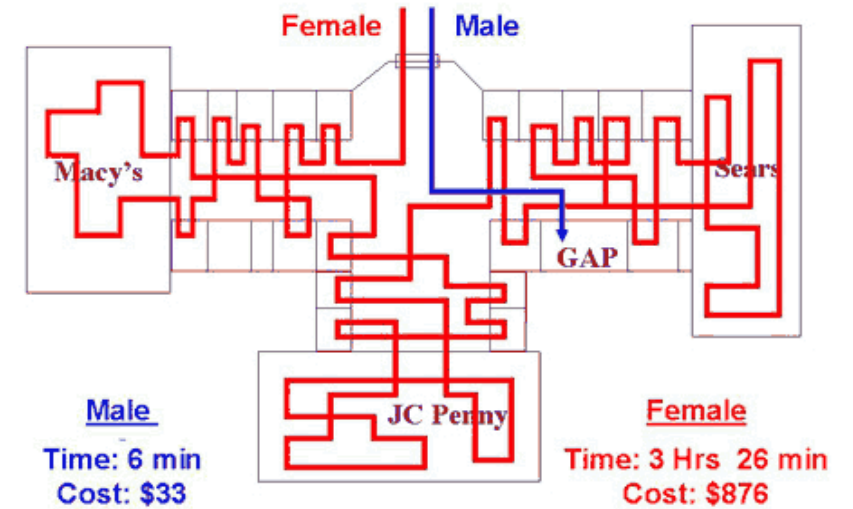
COMMUNITY CONNECTION
(e.g., Transgender classes)

Gender subculture

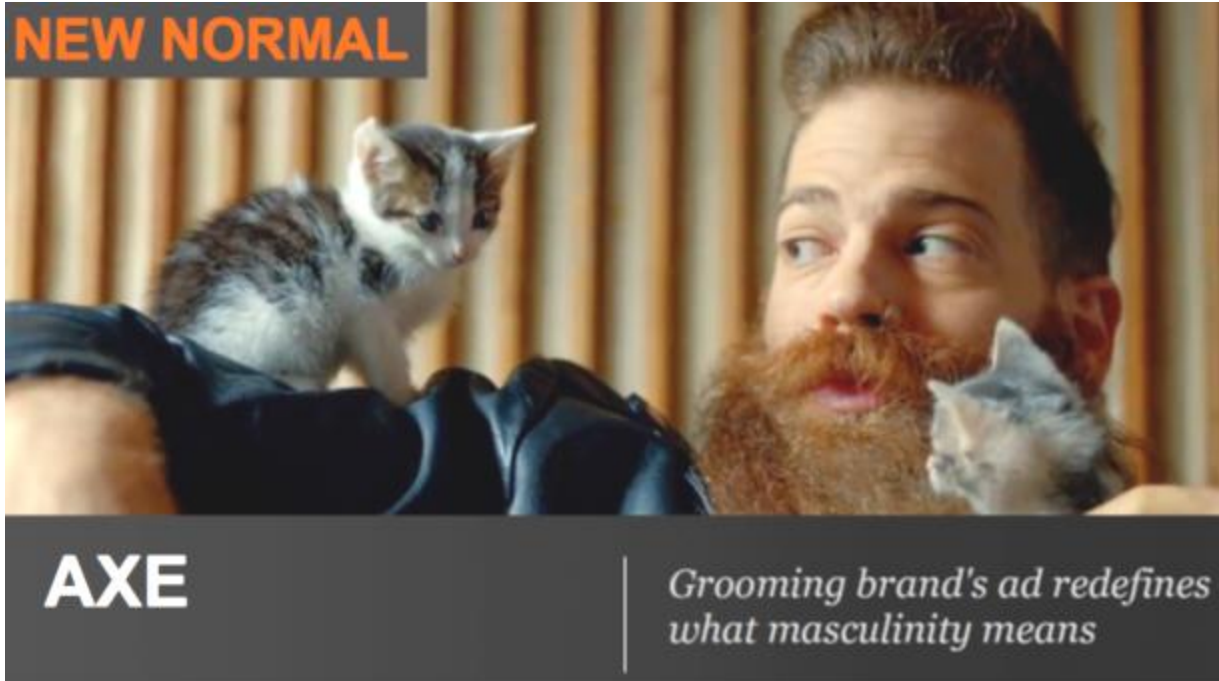
- Gender has influenced product design, brand personality, and marketing communications
- Sex: biological differences
 - Brain process and communication
 - Men are more focused, direct to the point, use one compartment of the brain at a time
- Gender:
 - Masculine traits: aggressive, competitive, independent, self-sufficient
 - Feminine traits: cheerful, gentle, sympathetic, warm, neat, talkative
- New trend
 - Many items targeted toward the new sex
 - Personal care for men,
 - Motorcycle/energy drink for women
 - **Unisex/gender neutral/genderless trend**
 - Bag, perfume, cloth, wristwatch, doll/toy
 - companies have been eliminating “boy’s” and “girl’s” sections in favor of more gender-neutral marketing



Mission: Go to Gap, Buy a Pair of Pants



NEW NORMAL



Be aware of segments within each subculture

ชายแท้ ยุคปัจจุบัน



เกย์ ยุคปัจจุบัน



ili BODY

ANDROGYNY
ฉบับปี 2021
ทุกคนแปลงประกายได้
โดยไม่ต้องระบุเพศ

ไม่ได้บ่งบอก
Gender Spectrum
(ไม่ใช่ LGBTQ+ ก็ไม่ได้)

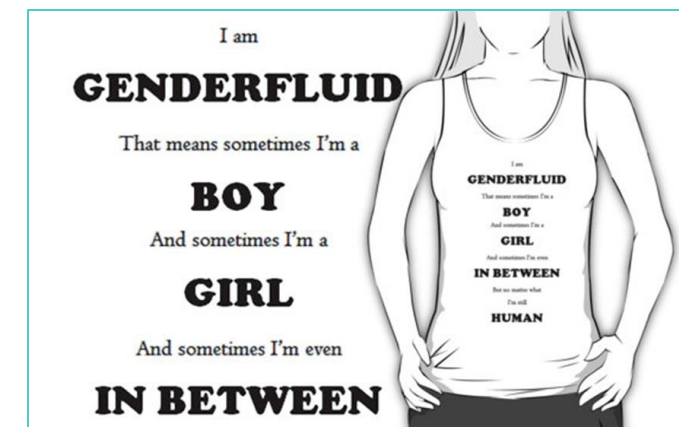
ไม่เท่ากับ
Unisex Fashion
(หยิบอะไรใส่ก็ได้
ไม่เจาะจงแค่เสื้อผ้า
ที่ออกแบบให้ใช้ได้
ทุกเพศ)

แต่คือ
Body Positive
(เลือกใส่ เพราะมันใจ
ในรูปร่างของตัวเอง)



LGBTQ+

- **LGBTQ** stands for lesbian, gay, bisexual, transgender, and queer
 - Estimated to make up 5-10% of the population
 - LGBTQ people go shopping 10% more, and are willing to spend 7% more
 - LGBTQ are over twice as likely to buy from companies they trust
- **Marketing to LGBTQ**
 - Beware of oversimplifying. Be inclusive and diverse in ads.
 - When conducting market research or forming new mainstream campaigns, LGBTQ perspectives should be considered and included. Include LGBTQ individuals, family members, friends and couples that reflect varied ages, races and genders
 - An unbalanced depiction of extremely effeminate gay men or extremely masculine women are old ideas that alienate many
 - Make sure you have pro-LGBT policies e.g. employment non-discrimination policy
 - Demonstrate your support for the larger LGBT community e.g. sponsorship
 - Marketeers need to find ways to authentically engage with this growing segment.
 - Sephora continues to inspire Fearlessness and Bold Beauty among the Transgender Community with a series of beauty workshops geared toward inspiring confidence in individuals facing major life transitions.



Generation (age cohort)

Gen	Born	Major events	Major traits	Behavior
Gray	1909-1945	WW II, Rock n' roll	- Respect for authority, loyal, hardwork, autonomy, connectedness	- Maintain health and enjoy life with their family
Baby boomer	1946-1964	Vietnam war, China revolution, 60s and hippie	- Work-centric, optimistic, emotional, seek freedom	- Delay retirement. Status concern. Unwilling to adopt new tech and break the conventional wisdom
Gen-x	1965-1980	Tiananman square, Berlin wall, Gulf war	- Individualistic, skeptical of authority, self-employed, flexible, seek work-life balance	- Cynical about ad, rely on review - Focus on functionality
Gen-y	1981-1996	Globalization, Internet, Social media	- Open to new experience, optimistic - Tech comfortable, multitasking, impatient - Express oneself, compare with peer	- Prefer experience over ownership - Idealist. Post polished and filtered images for personal branding
Gen-z	1997-2009	Natural disasters, Asian economy, Mobile internet	- Digital natives, multitasking, - Individualistic - Age compression - Social responsibility	- Prefer to portray authentic version of themselves - Expect personalized/renewed content and offering - Prefer brands that care about society
Gen alpha	2010-2025	Green movement , Technological advance (IOT, AI, ,robot)	- Most global, digital, educated - Embrace diversity	- Watch online video/game daily - Adopting human-mimicking technologies e.g. AI, voice command, and robots

GENERATIONAL MARKETING: EVOLVING VALUES & STRATEGIES

BABY BOOMERS (~1946-1964)



ACTIVE, OPTIMISTIC,
WEALTHY

Does it last?
Is it a good investment?



MARKETING FOCUS:
DURABILITY, QUALITY,
TRUST & REWARDS



Does it last?
Is it a good investment?

CHANNEL: TRADITIONAL MEDIA
(TV, Print, Email)

GEN X (~1965-1980)



SKEPTICAL, WORK/LIFE
BALANCE, INDEPENDENT

Does this save me time?
Is it straightforward?



MARKETING FOCUS:
EFFICIENCY,
CONVENIENCE,
"UNBUTTONING"



Does this save
me time? Is it
straightforward?

CHANNEL: EMAIL, SEARCH,
TARGETED WEB ADS

MILLENNIALS (GEN Y) (~1981-1996)



TECH-SAVVY, EXPERIENCE
OVER OWNERSHIP



MARKETING FOCUS:
SHAREABLE EXPERIENCES,
LIFESTYLE,
DIGITAL INTEGRATION



Is it shareable?
What's the
story?

CHANNEL: SOCIAL MEDIA,
INFLUENCERS, VIDEO

GEN Z (~1997-2012)



DIGITAL NATIVES, SOCIALLY
RESPONSIBLE, AUTHENTICITY



MARKETING FOCUS:
CUSTOMIZATION,
SELF-EXPRESSION,
PURPOSE-DRIVEN



Is it real?
Does it align with
my values?

CHANNEL: SHORT-FORM VIDEO,
GAMING PLATFORMS, COMMUNITY APPS

GEN ALPHA (~2013-Present)



TECH-INTEGRATED FROM BIRTH,
GAMIFICATION, INCLUSIVE



MARKETING FOCUS:
INTERACTIVITY,
CO-CREATION,
"EDUTAINMENT"



Can I play with it?
Can I build it?

CHANNEL: GAMING PLATFORMS (Roblox),
YOUTUBE KIDS, VOICE ASSISTANTS

Don't treat generations as rigid stereotypes, but understand them as groups shaped by shared historical milestones and technological contexts.



FUNDAMENTAL



FOREFRONT



FOSTERING



FINAL

LIFE STAGES

- Exploring and adapting to environment
- Learning and developing life skills
- Discovering personal identity

- Taking risks and pursuing dreams
- Making a living and building a career
- Developing committed romantic relationship

- Embracing parenthood and family life
- Mentoring and leading people at work
- Contributing back to society

- Maintaining health and social relationships
- Imparting wisdom to younger generations
- Enjoying life and staying happy

Gen Z and Alpha have shorter life stages, and embrace more mature mindsets at a younger age.

They are more willing to take risks and learn by doing—merging the Fundamental and Forefront stages

Gen Y reach traditional life milestones such as marriage and childbirth at a much older age while reaching other major life milestones in career and societal contributions, at a much younger age.

Most **gen X** are now in the fostering stage. They focus on work-life balance while contributing back to society.

Most **boomers** are at the final stage and are delaying retirement to remain active and ensure fulfilling lives

Application: Levi (>150 years old)

- Introductory stage: (gray)
 - focus on functional attributes of jeans (durable, versatile)
- Growth stage: (baby boomer)
 - New product concept, focus on emotional attributes (cool)
- Maturing stage: (gen-x)
 - Introduce new line, new material, can wear everyday
- Declining stage: (gen-y)
 - Launch new style, brand rejuvenation, break free from convention, unbutton your spirit
- Re-enter: (gen-z – digital natives)
 - Digital showroom, in-store social media newsfeed, an Instagram-able area
 - Recycled denim art and décor
 - more sizes, a print bar to meet the customization needs of those wanting their own mark and valuing self-expression



LV evolution

Louis Vuitton Vintage Epi Leather Handbag Styles



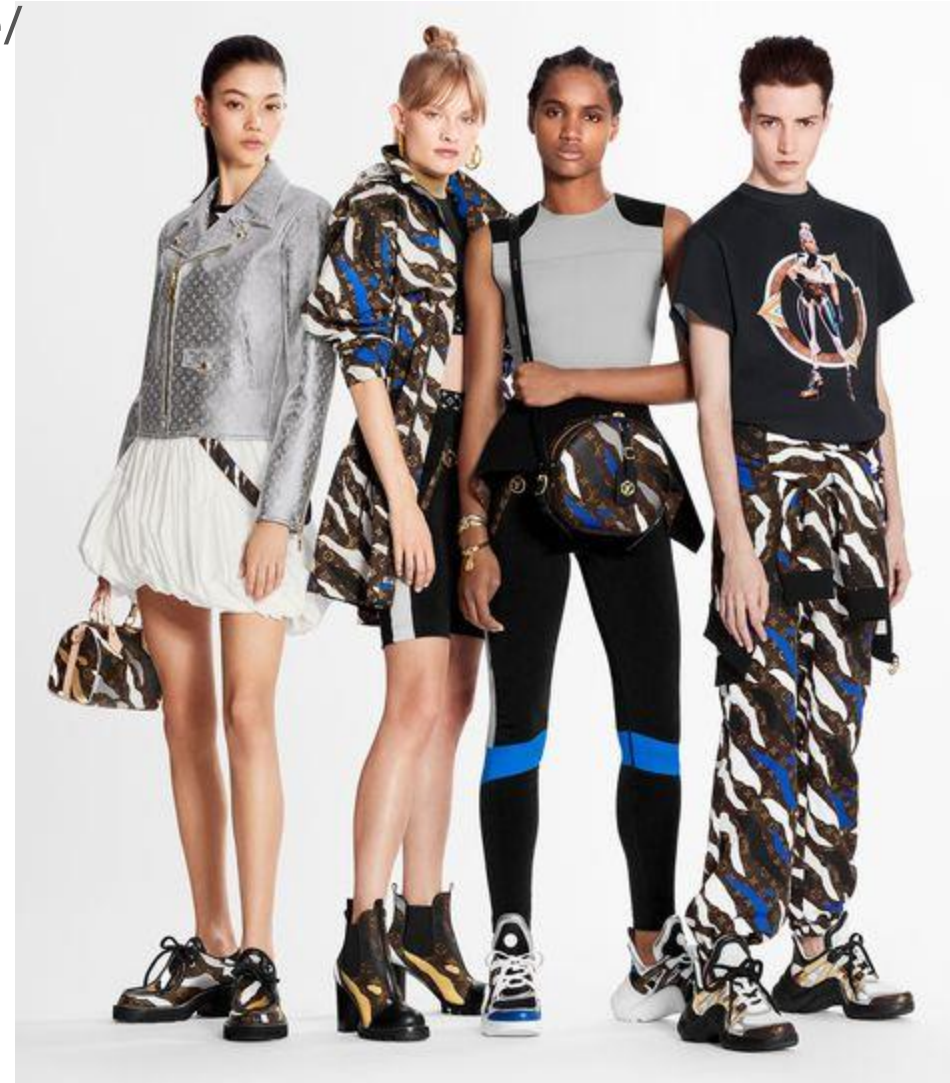
Collaboration with Supreme/
Riot game has given the
opportunity for LV to tap
into young consumers and
bring fresh appeal to the
timeless LV

Gen X



Gen Y

Gen Z



Ethnic Subcultures

- A self-perpetuation group of people who are held together by common cultural or genetic ties.
- Ethnic groups grows faster than the general population and represent a significant opportunity for brands



America

- Hispanic
 - Brand conscious
 - Prefer smaller stores
- Asian-American
 - Loyal to established brands
 - Importance of relationship
- African-American
 - Importance of style
 - Desire to be recognized

Asia

- Chinese
 - Family, respect seniority, conspicuous consumption
- Indian
 - Honor family pride, celebration is fundamental
- Arab
 - Believe in fate, regard for tradition, dignity is important

ETHNIC ASPECTS IN MARKETING: FROM RESPECTFUL ADAPTATION TO DANGEROUS STEREOTYPES

SUCCESSFUL ETHNIC MARKETING (Respect & Adaptation)

Be Authentic
& Inclusive.



MULTICULTURAL STRATEGY
(Integration & Diverse Representation)

PRODUCT ADAPTATION
(Taste, Sizing, Breaking Bulk)



CELEBRATING TRADITIONS
(Honoring Holidays like Lunar New Year, Ramadan)

THE RISKS OF ETHNIC MARKETING (Stereotyping & Insensitivity)

Avoid
Ignorance &
Insensitivity.



OFFENSIVE TROPES
(e.g., H&M's "Coolest Monkey" hoodie)

MOCKING CULTURAL ICONS
(e.g., D&G's chopsticks ad)



BACKLASH & LOSS
(Boycotts, cancelled shows, sales drop)

Brands must decide where their ethical line is. Censoring your brand identity to fit a local market can sometimes alienate your global customer base

Ethnic marketing



➤ Ethnic groups

- speak different language, use different media channel,
- prefer to shop from certain stores e.g. Wal-Mart neighborhood market
- have different purchasing patterns/behaviors/brand perceptions

➤ Ethnic marketing arises from the adaptation of marketing to the multicultural society.

➤ **Integration strategy** includes model/actors who represent ethnic minorities to demonstrate diversity

➤ **Micro-marketing** acts on the marketing mix to modify the product more attractive for an ethnic target

- COCA-COLA adapted the taste of FANTA to make it sweeter for African consumers. There are about 70 flavors of FANTA around the world

➤ **Multicultural strategy** involves recognizing a culture's traditions, beliefs, values, norms, language, and religion—and applying those aspects to market to that culture's needs. Some firms create a special department dedicated to ethnic culture.

➤ Ethnic marketing need a certain subtlety and respect the culture and not to discriminate.



Using minority ethnic characters is a double-edged sword

- Use of Black, Asian and Ethnic minorities tends to polarize the community between those who see the individual representation as positive and those that see it as tokenistic or stereotypical.



before after

Visibly more beautiful skin from the most unexpected of places – your shower.

Introducing Dove VisibleCare, our new revolutionary line of body washes that actually improves the look of your skin. With our highest concentration of NutriumMoisture™, you'll see visibly more beautiful skin in just one week. NEW DOVE VISIBLECARE CRÈME BODY WASH

dove.com

Average results in 1-3 weeks of daily use, based on clinical testing. In home use testing, consumers noticed visible improvement after 1 week. Photos shown reflect clinical improvement at 3 weeks.

-



A satirical world map with humorous and derogatory labels for various countries and regions. The labels are as follows:

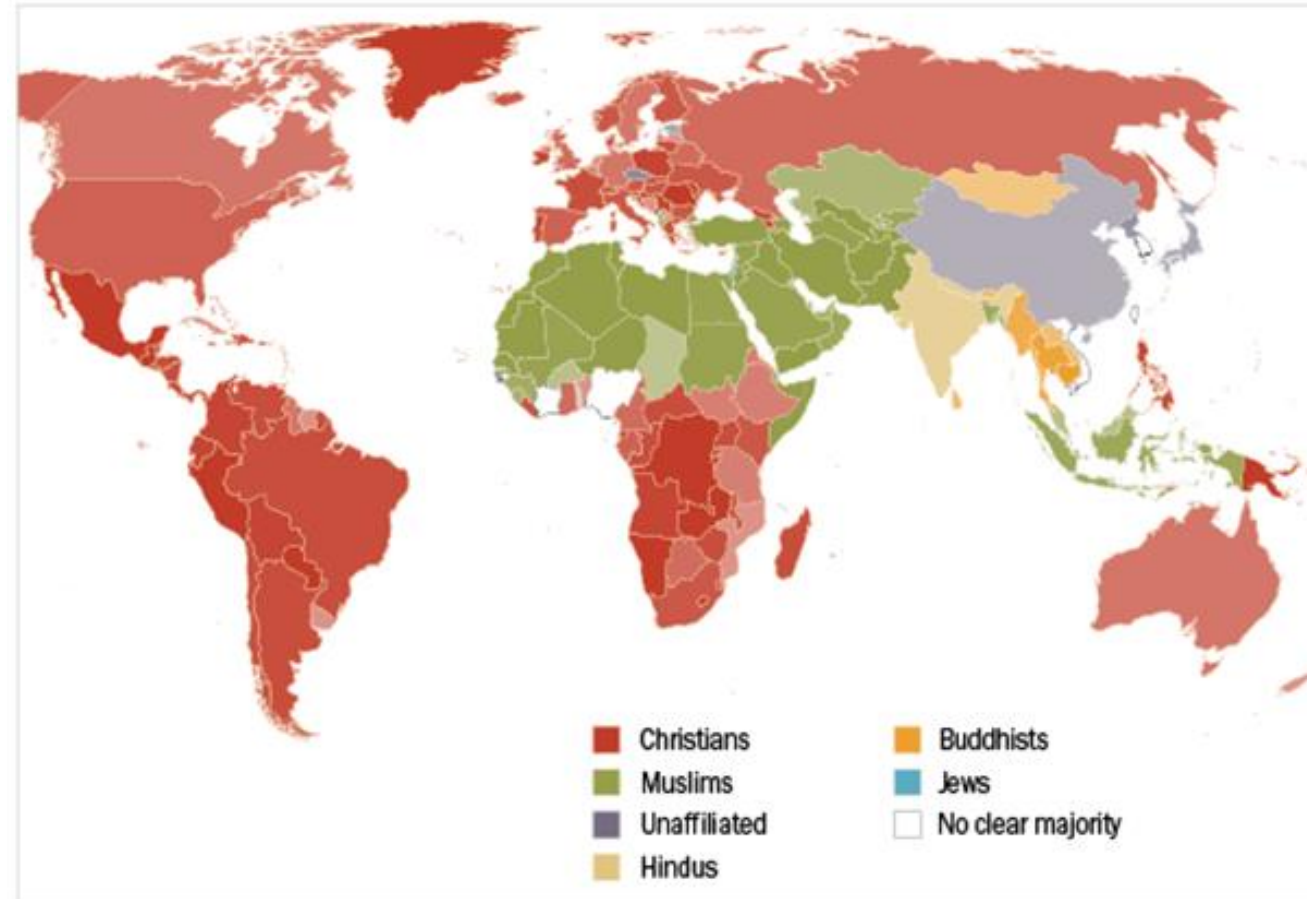
- North America:** FUR TRAPPERS, LAND OF AWESOME, HOUSEKEEPING, GRILL, BABY!
- South America:** LAND OF NO PUBES, DRAMA QUEENS, CHILI CON KANIN, COCHISE, DIAMONDS, ULLANO, UNCHARTED OCEAN
- Europe:** ICE CAP, OCEAN OF EUROPE, SUEZ CANAL, POLAND, SWITZERLAND, AUSTRIA, GERMANY, ITALY, GREECE, TURKEY, RUSSIA, UKRAINE, BELARUS, ESTONIA, LATVIA, LITHUANIA, POLYBURY, POULTRY, SATAN, TERRORISTS, YAY, DEMOCRACY, BORAT, SAVAGES, PEOPLE'S REPUBLIC OF CHINATOWN, YOGA, YAY, DEMOCRACY, BORAT, SAVAGES, PEOPLE'S REPUBLIC OF CHINATOWN, YOGA, YAY, DEMOCRACY
- Africa:** FUCKING DESERT, DUDE!, AFRICAN AMERICANS, AIDS, DIAMONDS, NAZI SUBMARINE OCEAN
- Asia:** COMMIES, BORAT, SAVAGES, PEOPLE'S REPUBLIC OF CHINATOWN, SATAN, TERRORISTS, YOGA, YAY, DEMOCRACY, BORAT, SAVAGES, PEOPLE'S REPUBLIC OF CHINATOWN, YOGA, YAY, DEMOCRACY
- Australia:** KANGAROO RIDERS, THE SHIRE, SEA OF CROCS
- Oceans/Seas:** MALIBU OCEAN, UNCHARTED OCEAN, NAZI SUBMARINE OCEAN, OSAMA'S GRAVE, SEA OF CROCS, THE SHIRE

Religious subcultures

- Religion subculture has a major influence on the way of living and the purpose of life.
- How Religion Influences Consumption
 - It exerts a significant impact on such variables as personality, attitudes toward sexuality, birthrates, household formation, income, and political attitudes.
 - Differences in preferences in weekend entertainment, and dietary and clothing requirement

Majority Religion, by Country

Countries are colored according to the majority religion. Darker shading represents a greater prevalence of the majority religion.



RELIGIOUS ASPECTS IN MARKETING: NAVIGATING FAITH & COMMERCE

ADAPTATION & OPPORTUNITY (Respecting Beliefs)

Build trust
through genuine
accommodation.



DIETARY LAWS
(Halal, Kosher Certification)

SPECIALIZED PRODUCTS
(e.g., Nike Pro Hijab,
LG Mecca Compass)



SPIRITUAL SERVICES
(Mega-churches, Retreats,
"Life Coaches")

ETHICAL DILEMMAS & CENSORSHIP (Balancing Global vs. Local)

Risk of alienation
& compromising
core values.



VISUAL CENSORSHIP
(e.g., Starbucks logo alteration)

ERASURE OF IDENTITY
(e.g., IKEA airbrushing
women, global backlash)



**THE COMPLIANCE
CONFLICT**
(Navigating local laws vs.
universal brand stance)

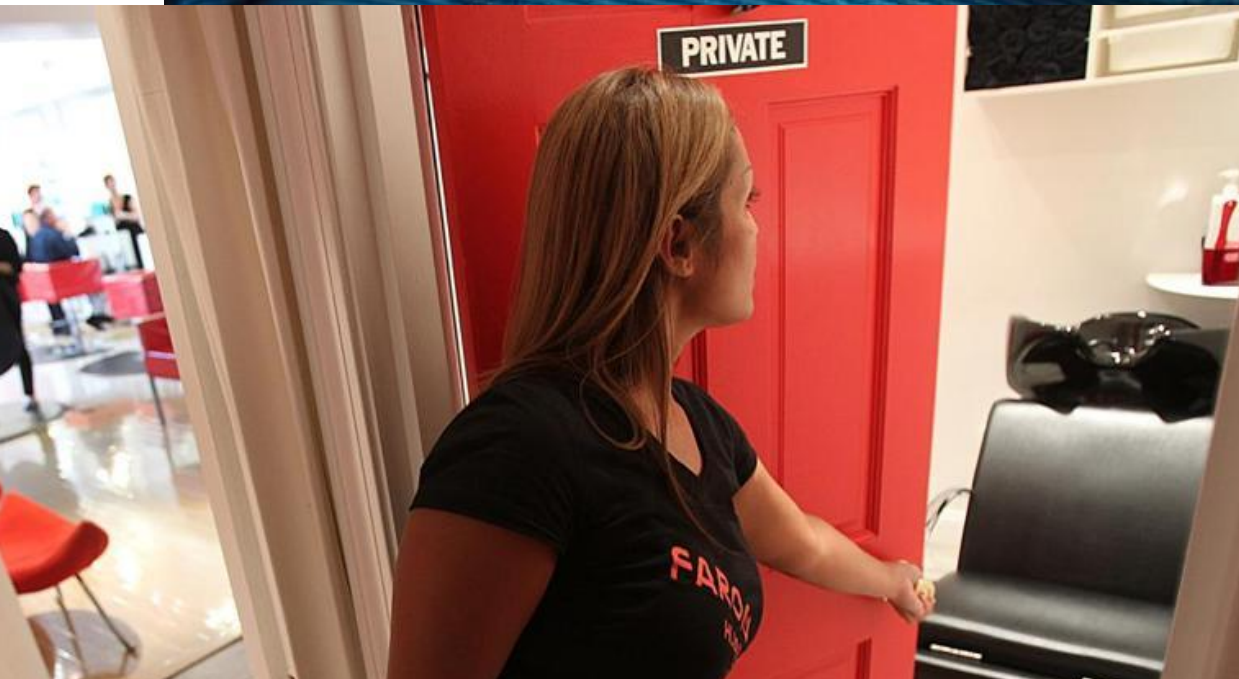
Religion & Marketing

- Adapt MK to fit with specific religious practice
 - LG Mobile phone with a built in compass for Muslims to know the direction in which to pray
 - Campbell's line of halal-certified soups
 - Nike launched hijab and swimwear
- Apply MK to Promote religion
 - Services: Mega church features library, coffee shop, therapy, fitness
 - Storytelling: Religious objects
- Religious Store Design
 - ESPN Zone: promote awe inspiring feeling via architectural designs (curved sky-painted dome, cathedral ceiling)
- Trend of spirituality → new product & services
 - Life coach, NLP, Yoga, Dhamma retreat





Nike's new line of modest swimwear is lightweight & quick-drying w/ UPF 40+ sun protection. The Nike Victory Swim Collection - featuring a full-coverage swimsuit, swim hijab, tunic top, & swim leggings – will be available Feb. 1, 2020.





Global brands
must balance
local compliance
with global
values

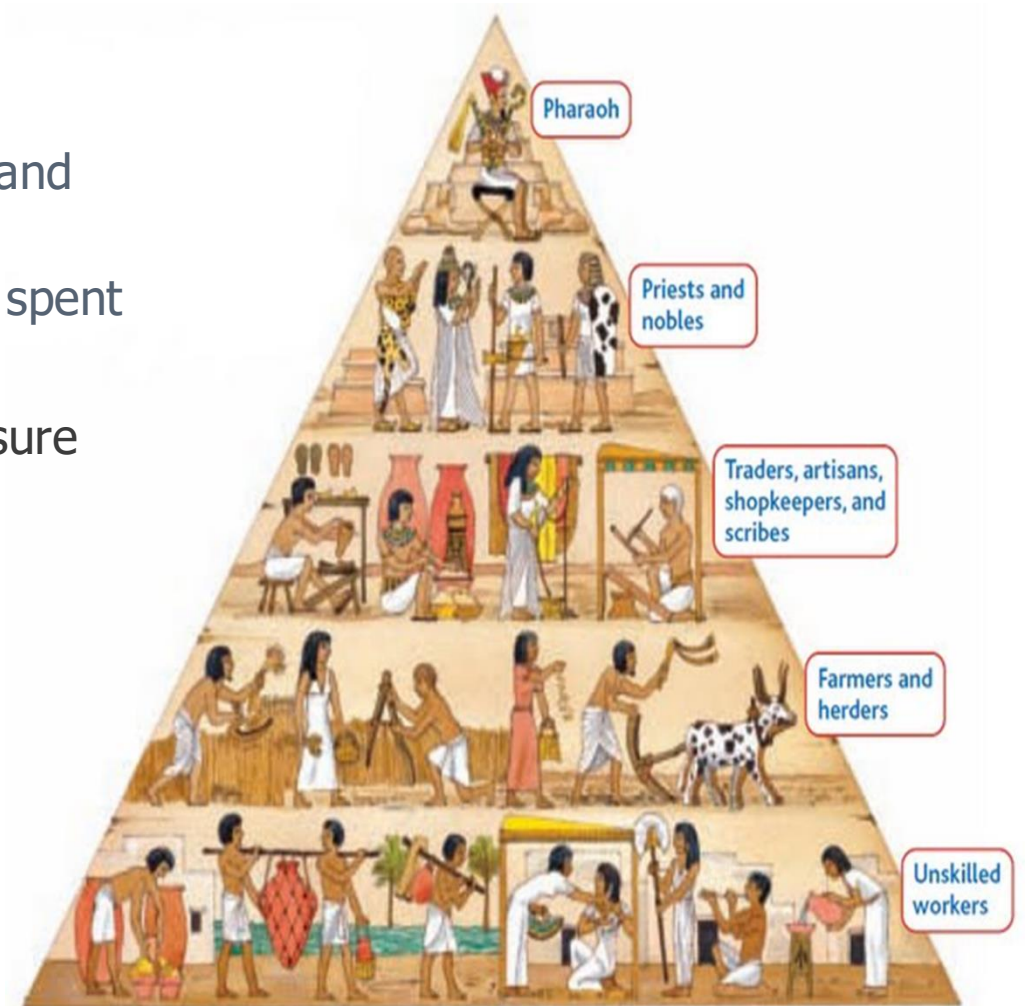
- Based on Islamic belief, woman's presence should remain closed off from public view. The harsh reality was reflected in an Ikea catalog for Saudi as women were removed.
- The decision to remove women's images by IKEA franchisee provoked a storm of criticism Sweden where gender equality value is strong. Also, IKEA projects an image of Sweden around the world.
- Ikea apologized and said we should have realised that excluding women from the catalogue is in conflict with the Ikea Group values.



In South Korea there's a long-running "gender war" online, where a pinch-like hand gesture (thumb and index finger held close, showing "this small") is read by many men as the radical-feminist/Megalia sign that mocks men's bodies. Because brands have been attacked and boycotted just for using that pose in ads, Apple's Korean version simply removed the hand holding the thin iPhone to avoid being dragged into that culture-war symbolism.

Social Class

- The division of social member into a hierarchy of status class
- Measures: Occupation, Income, Education, Family background, residence location
- Access to such resources as education, health care, housing and consumer goods.
- Social class influence how, how much, where money will be spent
 - Lifestyles, interests, forms of recreation
 - Tastes and preferences for clothing, home furnishings, leisure activity, and automobiles
 - Material possessions (luxury vs. necessary goods)
- Others
 - Language
 - Self Image and Values
 - Political orientation
 - Residential location



Social Class Structure

Warner's classification system (1941)

- Upper
 - Upper-Upper: social elite living on inherited wealth
 - Lower-Upper: executives who earned high income thru exceptional ability
- Middle
 - Upper-Middle: professionals who possess neither family status or unusual wealth
 - Lower-Middle: average-pay white-collar workers
- Lower
 - Upper-Lower: working class lifestyles
 - Lower-Lower: unskilled laborers living a day-to-day existence

SES classification in Thai market research

- 2 components: household income and asset ownership
- Bangkok, Upcountry Urban, Upcountry Rural

Class	BKK		UPC – URBAN		UPC – RURAL	
E	0 – 7,500	6%	0 – 5,000	7%	0 – 3,200	8%
D	7,501 – 18,000	32%	5,001 – 10,000	21%	3,201 – 6,500	23%
C-	18,001 – 24,000	14%	10,001 – 15,000	19%	6,501 – 11,000	26%
C	24,001 – 35,000	16%	15,001 – 22,500	20%	11,001 – 20,000	24%
C+	35,001 – 50,000	12%	22,501 – 33,000	14%	20,001 – 24,000	5%
B	50,001 – 85,000	12%	33,001 – 55,000	12%	24,001 – 35,000	7%
A	85,001 – 160,000	6%	55,001 – 85,000	5%	35,001 – 58,000	5%
A+	160,000+	2%	85,000+	2%	58,000+	2%

SOCIAL CLASS ASPECTS IN MARKETING: BEHAVIOR, STRATEGY & DYNAMICS

LOWER / WORKING CLASS (Focus: Utility & Immediate)



Income, Occupation, Education
define "How much & Where"



MARKETING STRATEGY:
"INSTANT DISCOUNT",
PRODUCT FOCUS,
FUNCTIONALITY

**MARKETING
STRATEGY:**

**BUILT TO LAST.
BEST VALUE
NOW.**

Does it work?
Can I afford it
today?

CLASS DYNAMICS & 'MASSTIGE' (Bridging the Gap)



MASSTIGE:
"Mass Prestige"
(Affordable Premium
for Middle Class)



BOTTOM OF THE PYRAMID
(Tier 4 Market)

UPPER / AFFLUENT CLASS (Focus: Image & Future)



Dictates **Lifestyle, Hobbies,**
Political Orientation



MARKETING STRATEGY:
"LOYALTY PROGRAMS",
RELATIONSHIP FOCUS,
MEANING & EXCLUSIVITY

**MARKETING
STRATEGY:**

What does it
say about me?
Is it a long-term
asset?

**ELEVATE
YOUR LEGACY.
EXCLUSIVE ACCESS.**

Your pricing, messaging, and product positioning must align with the financial reality and the psychological aspirations of your target social class

Effect of Social Class on Consumer Behavior

- Shopping
 - Hedonic/Aesthetics needs (pleasure from a product) vs. utilitarian needs (functional benefits)
 - Store image vs. external point of identity e.g. logo
- Saving, spending
 - Future oriented vs. immediate gratification
- Promotional campaign
 - Loyalty program vs. instant discount
- Responses to marketing communication
 - Elaboration of underlying meaning and relationship of objects vs. focus on the content of objects



Ads targeted to particular social classes

Social class mobility

- Social classes may be fixed or not fixed
- Status consumption
 - The process by which consumers actively increase their social standing through conspicuous consumption or possessions
- Declass
 - A product perceived to be prestige but are affordable for a wide range of people
 - The emergence of a new group of people: masstige (mass + prestige).
 - Coach, Starbucks, Iphone

Bottom of pyramid

